

BY-LAWS OF
OAKTREE PARK CABANA CLUB

ARTICLE I

Name and Location

The name of the corporation is OAKTREE PARK CABANA CLUB, hereinafter referred to as the "Association". The principal office of the Association shall be located at such place in the County of Santa Clara, State of California, as the Board of Directors may, from time to time, establish. All meetings of members shall be held either at the principal office of the Association or at such other place in the County of Santa Clara as the Board of Directors, from time to time, may determine, and all meetings of the Board of Directors shall be held either at the principal office of the Association or at such other place in the County of Santa Clara, State of California, as may be designated from time to time by the Board of Directors.

ARTICLE II

Definitions

Section 1. "Association" shall mean and refer to OAKTREE PARK CABANA CLUB, its successors and assigns.

Section 2. "Properties" shall mean and refer to that certain real property described in the Declaration of Covenants, Conditions and Restrictions, and such additions thereto as may hereafter be annexed pursuant to the provisions of the Declaration.

Section 3. "Common Area" shall mean all real property owned by the Association for the common use and enjoyment of the Owners and the members of the Association.

Section 4. "Lot" shall mean and refer to any

residential plot of land subject by covenants of record to assessment by the Association.

Section 5. "Owner" shall mean and refer to the record owner, whether one or more persons or entities, of the fee simple title to any Lot which is a part of the Properties, or to any Lot which is subject by covenants of record to assessment by the Association, including contract sellers, but excluding those having such interest merely as security for the performance of an obligation.

Section 6. "Declarant" shall mean and refer to DITZ-CRANE, a corporation, its successors and assigns if such successors or assigns should acquire more than one (1) undeveloped Lot from the Declarant for the purpose of development, and any person, firm or corporation now or hereafter owning more than one (1) undeveloped Lot for the purpose of development and their respective successors and assigns if such successors or assigns should acquire more than one (1) undeveloped Lot for the purpose of development.

Section 7. "Declaration" shall mean and refer to the Declaration of Covenants, Conditions and Restrictions applicable to the Properties recorded in the Office of the Recorder of the County of Santa Clara, State of California.

Section 8. "Member" shall mean and refer to a member of the Association (of whatever class, unless otherwise stated), and "Members" shall mean and refer to all members of the Association (including both classes of members, unless otherwise stated).

Section 9. "Board" shall mean and refer to the Board of Directors of the Association.

Section 10. "Restrictions" shall mean and refer to the covenants, conditions, restrictions and equitable servitudes

set forth in the Declaration.

Section 11. "Articles" shall mean and refer to the Articles of Incorporation of the Association.

Section 12. "By-Laws" shall mean and refer to these By-Laws.

Section 13. "Rules" shall mean and refer to the Rules of the Association.

ARTICLE III

Membership and Voting Rights

Section 1. Every person or entity who is a record owner of a fee or undivided fee interest in any Lot which is subject by covenants of record to assessment by the Association, including contract sellers, shall be a member of the Association. The foregoing is not intended to include persons or entities who hold an interest merely as security for the performance of an obligation. Membership shall be appurtenant to and may not be separated from ownership of any Lot which is subject by covenants of record to assessment by the Association.

Section 2. The Association shall have two classes of voting membership:

Class A. Class A members shall be all Owners (as defined in the Declaration) with the exception of the Declarant and shall be entitled to one vote for each Lot owned. When more than one person holds an interest in any Lot, all such persons shall be members. The vote for such Lot shall be exercised as they among themselves determine, but in no event shall more than one vote be cast with respect to any Lot.

Class B. The Class B member(s) shall be the Declarant (as defined in the Declaration), and shall be

entitled to three (3) votes for each Lot owned. The Class B membership shall cease and be converted to Class A membership on the happening of any of the following events, whichever occurs earliest:

- (a) when the total votes outstanding in the Class A membership equal the total votes outstanding in the Class B membership; or
- (b) two years from the date of the issuance of the most recent Public Report for a phase of the overall development, or
- (c) December 31, 1975.

ARTICLE IV

MEETINGS OF MEMBERS

Section 1. Annual Meetings. The first annual meeting of the members shall be held within Six (6) months from the date of incorporation of the Association, or not later than thirty (30) days after fifty-one per cent (51%) of the Lots have been sold, whichever occurs first, and each subsequent regular annual meeting of the members shall be held on the same day of the same month of each year thereafter, at the hour of 8:00 o'clock P.M., or, if such day is a legal holiday, at the same hour on the first day following which is not a legal holiday, unless the Board of Directors shall from time to time fix a different day or time for such meeting.

Section 2. Special Meetings. Special meetings of the members may be called at any time by the President or by the Board of Directors, or upon written request of the members who are entitled to vote one-fourth (1/4) of all of the votes of the Class A membership.

Section 3. Notice of Meetings. Written notice of

each meeting of the members (whether annual or special) shall be given by, or at the direction of, the Secretary or person authorized to call the meeting, by mailing a copy of such notice, postage prepaid, at least fifteen (15) and not more than thirty (30) days before such meeting to each member entitled to vote thereat, addressed to the member's address last appearing on the books of the Association, or supplied by such member to the Association for the purpose of notice. Such notice shall specify the place, day and hour of the meeting, and, in the case of a special meeting, the purpose of the meeting.

Section 4. Quorum. The presence at a meeting of members entitled to cast, or of proxies entitled to cast, fifty per cent (50%) of the votes of each class of membership shall constitute a quorum for any action except as otherwise expressly provided in the Declaration, the Articles, or these By-Laws. If, however, such quorum shall not be present or represented at any duly called meeting, the members entitled to vote thereat shall have power to adjourn the meeting from time to time, without notice other than announcement at the meeting, until a quorum as aforesaid shall be present or be represented. The members present at a duly called meeting at which a quorum is present may continue to do business until adjournment notwithstanding the withdrawal of enough members to leave less than a quorum.

Section 5. Majority Vote. Except as otherwise expressly provided by law, or in the Declaration or Articles or these By-Laws, the vote of a majority of the members present at any duly and regularly called meeting at which a quorum is present shall be and constitute the act of the members.

Section 6. Proxies. At all meetings of members,

each member may vote in person or by proxy. All proxies shall be in writing and filed with the Secretary. Every proxy shall be revocable and shall automatically cease upon conveyance by the member of his Lot.

ARTICLE V

Purposes and Powers of Association

This Association does not contemplate pecuniary gain or profit to the members thereof, and the specific primary purposes for which it is formed are to provide for swimming facilities for its members and to erect, construct, purchase, own, improve, maintain, repair and operate swimming and wading pools, and recreational facilities, buildings, areas and paraphernalia of every kind and nature whatsoever, for the purpose of promoting recreational and social intercourse among its members and to furnish pleasure, happiness and health to its members. In furtherance of said purposes, this Association shall have power to: (a) perform all of the duties and obligations of the Association as set forth in that certain Declaration of Covenants, Conditions and Restrictions, herein-after called the "Declaration", applicable to the Association and recorded or to be recorded in the Office of the Recorder of the County of Santa Clara, State of California, relating to Unit No. 1, Tract No. 5052, of the Subdivision in the City of San Jose, County of Santa Clara, known as OAKTREE PARK (and to such additional units or portions of said OAKTREE PARK as may hereafter be annexed as provided in said Declaration), and under and by virtue of which Lots in said Unit (or Units) are subject by covenants of record to assessment by this Association; (b) fix, levy, collect and enforce payment by any lawful means, all charges or assessments pursuant to the terms of the Declaration; to pay all expenses

in connection therewith and all office and other expenses incident to the conduct of the business of the Association, including all licenses, taxes or governmental charges levied or imposed against the property of the Association; (c) acquire (by gift, purchase, or otherwise), own, hold, improve, build upon, operate, maintain, convey, sell, lease, transfer, dedicate for public use or otherwise dispose of real or personal property in connection with the affairs of the Association; (d) to borrow money, but only with the assent (by vote or written consent) of two-thirds (2/3) of each class of members mortgage, pledge, deed in trust, or hypothecate any or all of its real or personal property as security for money borrowed or debts incurred; (e) dedicate, sell or transfer all of or any part of the Common Area to any public agency, authority, or utility for such purposes and subject to such conditions as may be agreed to by the members. No such dedication or transfer shall be effective unless an instrument has been signed by two-thirds (2/3) of each class of members, agreeing to such dedication, sale or transfer; (f) participate in mergers and consolidations with other nonprofit corporations organized for the same purposes or annex additional residential property and Common Area, provided that any merger, consolidation or such annexation, except as provided in the Declaration, shall have the assent by vote of two-thirds (2/3) of each class of members or by the written consent of two-thirds (2/3) of each class of members; (g) have and to exercise any and all powers, rights, and privileges which a corporation organized under the General Non-profit Corporation Law of the State of California by law may now or hereafter have or exercise, provided, however, that this corporation is not empowered to engage in any activity which in itself is not in furtherance of its purposes as set forth above,

and provided further that this Association is organized and operated exclusively for pleasure, health and recreation, and other nonprofitable purposes, and no part of any net earnings shall inure to the benefit of any private member.

ARTICLE VI

Board of Directors; Selection; Term of Office

Section 1. Number. All of the powers of the Association shall be vested in and shall be exercised by, and the properties of the corporation controlled by, and the affairs of the corporation conducted by a Board to be known as the Board of Directors. The Board of Directors shall constitute the governing body of the Association and shall be empowered to do any and all things necessary or proper to carry out the objects and purposes of the corporation consistent with law, the Declaration, the Articles, and these By-Laws. The Board of Directors shall consist of nine (9) members, elected as hereinafter provided, who may but need not be members of the Association.

Section 2. Term of Office. At the first annual meeting, the members shall elect three (3) Directors for a term of one (1) year, three (3) Directors for a term of two (2) years and three (3) Directors for a term of three (3) years; and at each annual meeting thereafter the members shall elect three (3) Directors for a term of three (3) years. A Director shall hold office until the expiration of his term or until his successor has been elected and is ready to enter upon the duties of his office.

Section 3. Removal. Any Director may be removed from the Board, with or without cause, by a majority vote of the members of the Association. In the event of death,

resignation or removal of a Director, his successor shall be selected by the remaining member or members of the Board and shall serve for the unexpired term of his predecessor or until his successor has been elected and is ready to enter upon the duties of his office.

→ Section 4. Compensation. No Director shall receive compensation for any service he may render to the Association as a Director, provided, however, that any Director may be reimbursed for his actual expenses incurred in the performance of his duties.

→ Section 5. Action Taken Without a Meeting. Any action required or permitted to be taken by the Board of Directors may be taken without a meeting if all members of the Board individually or collectively consent in writing to such action. Such written consent or consents shall be filed with the minutes of the proceedings of the Board. Such action by written consent shall have the same force and effect as a unanimous vote of the Directors.

ARTICLE VII

Nomination and Election of Directors

Section 1. Nomination. Nomination for election to the Board of Directors shall be made by a Nominating Committee. Nominations may also be made from the floor at the annual meeting. The Nominating Committee shall consist of a Chairman, who shall be a member of the Board of Directors, and two (2) or more members of the Association. The Nominating Committee shall be appointed by the Board of Directors prior to each annual meeting of the members, to serve from the close of such annual meeting until the close of the next annual meeting and such appointment shall be announced at each annual meeting.

The Nominating Committee shall make as many nominations for election to the Board of Directors as it shall in its discretion determine, but not less than the number of vacancies that are to be filled. Such nominations may be made from among members or non-members.

Section 2. Election. Election to the Board of Directors shall be by secret written ballot. At such election the members or their proxies may cast, in respect to each vacancy, as many votes as they are entitled to exercise under the provisions of the Declaration. The persons receiving the largest number of votes shall be elected. Cumulative voting is permitted.

ARTICLE VIII

Meetings of Directors

Section 1. Regular Meetings. The regular annual meetings of the Board of Directors shall be held within five (5) days following the regular annual meeting of the members. Regular meetings of the Board of Directors shall be held at such time and on such day and at such place as may be fixed from time to time by resolution of the Board.

Section 2. Special Meetings. Special meetings of the Board of Directors shall be held when called by the President of the Association, or by any two (2) Directors, and shall be held at the principal office of the Association or at such other place as the Board may select.

Section 3. Notice. Notice of all meetings of the Board of Directors shall be given by or under the direction of the Secretary of the Association to each member of the Board at least three (3) days prior to the time of such meeting. Such notice shall be either verbal, by telephone, or in writing.

Section 4. Quorum. A majority of the number of Directors shall constitute a quorum for the transaction of business. Every act or decision done or made by a majority of the Directors present at a duly held meeting at which a quorum is present shall be regarded as the act of the Board.

ARTICLE IX

Powers and Duties of the Board of Directors

Section 1. Powers. The Board of Directors shall have power to:

(a) Adopt and publish rules and regulations necessary or convenient for carrying into effect the requirements of the Declaration and of these By-Laws, and such other rules and regulations as, in the judgment of the Directors, may be proper (including, without limiting the generality of the foregoing, rules and regulations governing the use of the Common Area and facilities and the personal conduct of the members and their guests thereon) and establish penalties for the infraction thereof, provided that such rules and regulations shall not be contrary to applicable statutes or governmental rules or regulations and shall not be contrary to the provisions of the Declaration or the Articles or these By-Laws;

(b) suspend the voting rights and right to use of the recreational facilities of a member during any period in which such member shall be in default in the payment of any assessment levied by or sum of money due to the Association. Such rights may also be suspended, after notice and hearing, for a period not to exceed thirty (30) days for infraction of published rules and regulations.

(c) Conduct, manage and control the affairs and business of the Association and exercise for the Association

all powers, discretions, duties and authority vested in or delegated to this Association and not reserved to the membership by other provisions of these By-Laws, the Articles of Incorporation, or the Declaration;

(d) Declare the office of a member of the Board of Directors to be vacant in the event such member shall be absent from three (3) consecutive meetings of the Board of Directors;

(e) Appoint and remove at pleasure all agents and employees of the Association, and independent contractors, prescribe their duties, fix their compensation, and if deemed necessary, require from them security for the faithful performance of their duties;

(f) Authorize all necessary expenditures;

(g) Deal conclusively with all matters relating to the discipline of members in accordance with the Declaration, Articles and these By-Laws; and

(h) The specification of particular powers herein shall not be construed to in any manner or to any extent limit or restrict the powers of the Board of Directors, and the Board of Directors shall have power to do all things necessary and proper to carry out the functions of the Association pursuant to the Declaration and Articles and these By-Laws and to do all things necessary and proper for the control, management and operation of the Association, its properties and affairs, consistent with law and the provisions of the Declaration, Articles and these By-Laws.

Section 2. Duties. It shall be the duty of the Board of Directors to:

(a) Cause to be kept a complete record of all of its acts and corporate affairs and to present a statement thereof to the members at the annual meeting of the members, or at any special meeting when such statement is requested in writing by one-fourth (1/4) of the Class A members who are

entitled to vote;

(b) Supervise all officers, agents and employees of this Association, and to see that their duties are properly performed;

(c) As more fully provided in the Declaration to:

1. Fix the amount of the annual assessment against each Lot at least thirty (30) days in advance of each annual assessment period;

2. Send written notice of each assessment to every Owner subject thereto at least thirty (30) days in advance of each annual assessment period; and

3. Foreclose the lien against any Lot for which assessments are not paid within thirty (30) days after due date, or to bring an action at law against the Owner personally obligated to pay the same.

(d) Issue, or to cause an appropriate officer to issue, upon demand by any person, a certificate setting forth whether or not any assessment has been paid. A reasonable charge may be made by the Board for the issuance of these certificates. If a certificate states an assessment has been paid, such certificate shall be conclusive evidence of such payment;

(e) Procure and maintain liability insurance covering the Association and its officers and Directors, and fire and extended coverage insurance on property owned by the Association in amounts deemed adequate by the Board, and such other insurance as the Board may determine to be appropriate

for the Common Areas.

(f) Cause all officers or employees having fiscal responsibilities to be bonded, as it may deem appropriate;

(g) Cause the Common Area to be maintained.

ARTICLE X

Officers and Their Duties

Section 1. Enumeration of Offices. The officers of this Association shall be a President and Vice President, who shall at all times be members of the Board of Directors, a Secretary and a Treasurer (who may be members of the Board of Directors), and such other officers as the Board may from time to time by resolution create.

Section 2. Election of Officers. The election of officers shall take place at the first meeting of the Board of Directors following each annual meeting of the members.

Section 3. Term. The officers of this Association shall be elected annually by the Board and each shall hold office for one (1) year or until a successor has been elected and is ready to enter upon the duties of his office, unless he shall sooner resign, or shall be removed, or otherwise disqualified to serve.

Section 4. Special Appointments. The Board may elect such other officers as the affairs of the Association may require, each of whom shall hold office for such period, have such authority, and perform such duties as the Board may, from time to time, determine.

Section 5. Resignation and Removal. Any officer may be removed from office with or without cause by the Board. Any officer may resign at any time giving written notice to the Board, the President or the Secretary. Such resignation

shall take effect on the date of receipt of such notice or at any later time specified therein, and unless otherwise specified therein, the acceptance of such resignation shall not be necessary to make it effective.

Section 6. Vacancies. A vacancy in any office may be filled by appointment by the Board. The officer appointed to such vacancy shall serve for the remainder of the term of the officer he replaces.

Section 7. Multiple Offices. The offices of Secretary and Treasurer may be held by the same person. No person shall simultaneously hold more than one (1) of any of the other offices except in the case of special offices created pursuant to Section 4 of this Article.

Section 8. Duties. The duties of the officers, subject to the direction and control of the Board of Directors, are as follows:

President

(a) The President shall preside at all meetings of the Board of Directors and of the members; shall see that orders and resolutions of the Board are carried out; shall sign all leases, mortgages, deeds when authorized by the Association as provided in the Declaration, and other written instruments (provided that the Board of Directors may delegate authority to execute any such document or instrument in writing to any other officers of the Association or to a member of the Board of Directors), and, unless the Board from time to time otherwise determines, shall co-sign all checks and promissory notes, and shall perform such other duties and have such other powers as may from time to time be assigned to him by the Board.

Vice-President

(b) The Vice President shall act in the place

and instead of the President in the event of his absence, inability or refusal to act, and shall exercise and discharge such other duties as may be required of him by the Board.

Secretary

(c) The Secretary shall record the votes and keep the minutes of all meetings and proceedings of the Board and of the members; keep the corporate seal of the Association and affix it on all papers requiring said seal; give notice of meetings of the Board and of the members; keep appropriate current records showing the members of the Association together with their addresses; and shall perform such other duties as required by the Board.

Treasurer

(d) The Treasurer shall receive and deposit in appropriate bank accounts all monies of the Association and shall disburse such funds as directed by resolution of the Board of Directors; shall sign all checks and promissory notes of the Association; shall keep proper books of account and if so directed by the Board cause an annual audit of the Association books to be made by a public accountant at the completion of each fiscal year; and shall prepare an annual budget and a statement of income and expenditures to be presented to the membership at its regular annual meeting, and deliver a copy of each to the members; and shall perform such other duties as may be required by the Board.

Section 9. Delegation of Duties. The Board of Directors may from time to time delegate to agents or employees of the Association or to independent accountants or independent contractors such of the duties of officers as the Board may determine to be appropriate.

ARTICLE XI

Committees

The Board of Directors shall appoint a Nominating Committee, as provided in these By-Laws. In addition, the Board of Directors shall appoint other committees as deemed appropriate in carrying out the purposes of the Association.

ARTICLE XII

Books and Records

The books, records and papers of the Association shall at all times, during reasonable business hours, be subject to inspection by any member. The Declaration, the Articles of Incorporation and the By-Laws of the Association shall be available for inspection by any member at the principal office of the Association, where copies may be purchased at reasonable cost.

ARTICLE XIII

Assessments

As more fully provided in the Declaration, each Class A and Class B member is obligated to pay to the Association annual and special assessments which may be secured by a continuing lien upon the property against which the assessment is made. Any assessments which are not paid when due shall be delinquent. If the assessment is not paid within thirty (30) days after the due date, the assessment shall bear interest from the date of delinquency at the rate of seven per cent (7%) per annum, and the Association may bring an action at law against the Owner personally obligated to pay the same or foreclose the lien against the property, and interest, costs, and reasonable attorneys' fees of any such action shall be added to the amount of such assessment. No Owner may waive or otherwise escape liability for the

assessments provided for herein by nonuse of the Common Area or abandonment of his Lot.

ARTICLE XIV

Corporate Seal

The corporate seal shall consist of two concentric circles with the name "OAKTREE PARK CABANA CLUB", and the word "California" between them and the words and figures "Incorporated October 5, _____, 1972, California" and "a non-profit corporation" within the smaller circle.

ARTICLE XI

General Provisions

Section 1. Members shall, in all respects, conform to and abide by the By-Laws of the Association, and all amendments and changes thereto, and any and all rules and regulations now or hereafter adopted by the Board of Directors.

Section 2. The Board of Directors, in its discretion, may extend the privileges of the Association to any person or persons for reasonable periods of time. The Board of Directors shall make such rules and regulations as it may deem proper respecting the use of the facilities of the Association by guests of members, and the fees to be charged therefor.

Section 3. Any loss or damage resulting to any of the properties of the Association from the acts or conduct of any member, or the guest of a member, and any indebtedness to the Association incurred by the guest of a member, shall be assessed to such member and shall be paid as in the case of other assessments.

Section 4. Notice of any kind required to be given to any member shall be conclusively deemed to have been given when the same has been deposited in the United States mail, in a sealed envelope, postage prepaid, addressed to the

member at the address shown on the books of the Association, and any notice so mailed to his last address known to the Secretary, or to the address of the Association, shall be deemed properly given and made.

ARTICLE XVI

Amendments

Section 1. Subject to the provisions of Section 2 of this Article, the By-Laws may be altered, amended or repealed by the written assent of members holding a majority of the voting power in the Association or by majority vote of a quorum of members present in person or by proxy at a regular or special meeting of the members, provided, however, that no vote in regard to alteration, amendment or repeal of the Articles of Incorporation or By-Laws shall be taken at any meeting of members unless the nature of the action proposed to be taken in regard to alteration, amendment or repeal has been fully set forth in the notice of such meeting previously given to the members.

Section 2. In the case of any conflict between the Articles of Incorporation and these By-Laws, the Articles shall control; and in the case of any conflict between the Declaration and these By-Laws, the Declaration shall control.

ARTICLE XVII

Property Rights and Dissolution

Section 1. The members shall, during the existence in good standing of their membership, be the beneficial owners of all of the properties and assets of the corporation, each in an undivided share in proportion to the number of votes exercisable by such member (Class B members being treated as Class A members for this purpose). Such beneficial interests

of the members cannot be alienated, transferred, assigned, bequeathed, devised or passed by the laws of inheritance or intestate succession or any judicial proceedings or by the operation of any law or in any other manner.

Section 2. Upon dissolution of the Association, the assets of the Association shall be distributed to an appropriate public agency to be used for purposes similar to those for which this Association was created. In the event that such distribution is refused acceptance, such assets shall be granted, conveyed and assigned to any nonprofit corporation, association, trust or other organization organized and operated for such similar purposes.

ARTICLE XVIII

Miscellaneous

The fiscal year of the Association shall begin on the first day of January and end on the thirty-first day of December of every year, except that the first fiscal year shall begin on the date of incorporation.

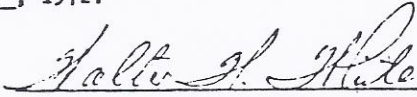
CERTIFICATION

I, the undersigned, do hereby certify:

That I am the duly elected and acting Secretary of
OAKTREE PARK CABANA CLUB, a California non-profit corporation,
and;

That the foregoing By-Laws constitute the original
By-Laws of said corporation, as duly adopted at a meeting of
the Board of Directors thereof, held on the 11 day
of October, 1972.

IN WITNESS WHEREOF, I have hereunto subscribed
my name and affixed the seal of said corporation this 11
day of October, 1972.


Secretary